

FM Lecture 1: Introduction to Financial Management

Schaefer Chapters 1 & 2 + Lecture 1 Slides

Schaefer - Principles of Financial Management

Study Notes

LECTURE CONTEXT: INTRODUCTION & LEARNING OBJECTIVES

Course Overview

Business Administration B covers two parts: Business Ethics (KW 8-10, Prof. Festl) and Financial Management (KW 11-21, Dr. Simon Pfister). This lecture introduces Financial Management.

- **Course weight:** 5.5 ECTS
- **Exam:** Written, digital, 180 min, closed book (180 pts: 45 Ethics + 135 FM)
- **Supplementary aids:** Private laptop (compulsory), mains adapter, LockDown Browser

Learning Objectives

- Understand what Financial Management entails and how it is embedded in the St.Gallen Management Model (SGMM)
- Understand the different sub-processes of Financial Management and their hierarchy
- Understand the function of financial reporting and its principles
- Know how a company communicates financial information to stakeholders

CHAPTER 1: INTRODUCTION

1.1 What is Financial Management?

Financial Management (FM) is the discipline of managing a company's financial resources, reporting, and decision-making. The textbook is structured into four parts:

- **Part A - Introduction:** Embedding FM into the SGMM, understanding FM sub-processes
- **Part B - External Financial Management:** Financial accounting, financial reporting (external stakeholders)
- **Part C - Internal Financial Management:** Management accounting, performance measurement (internal decision-making)
- **Part D - Strategic Financial Management:** Operating decisions, strategic decisions (capital structure, M&A, investments)

Four Parts of Financial Management

A: Introduction (SGMM embedding) -> B: External FM (accounting, reporting) -> C: Internal FM (management accounting, performance) -> D: Strategic FM (operating & strategic decisions)

1.2 Symbols and Notation

Throughout the textbook, two running examples illustrate FM concepts:

- **Nestle:** Used in the textbook as the primary case study (global FMCG company)
- **On AG:** Used in lectures as the practical case study (Swiss running shoe company)
- **Key notation:** Assets (A), Liabilities (L), Equity (E), Revenue (R), Expenses (Ex), Profit (P)

CHAPTER 2: EMBEDDING FM INTO THE SGMM

2.1 Introductory Example: Nestle

The textbook opens with Nestle's strategic decision to invest in health-oriented business lines. This illustrates how FM supports strategic decision-making:

- Nestle's shift toward health science (acquisition of medical nutrition companies)
- FM provides the analytical framework: Is the investment profitable? Can it be financed? What are the risks?
- The **goal triangle** of FM guides all such decisions: profitability, risk, and liquidity

2.2 Managerial Finance and the SGMM

The Goal Triangle of Financial Management

Every financial decision involves balancing three competing objectives:

- **Profitability:** Generating returns (profit, ROI, ROE)
- **Risk:** Managing uncertainty and potential losses
- **Liquidity:** Ensuring the company can meet its payment obligations at all times

The Goal Triangle

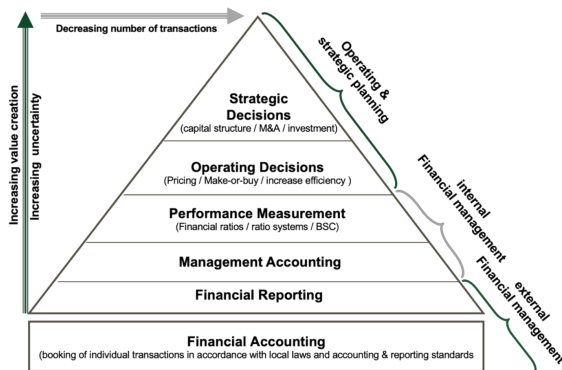
Profitability <-> Risk <-> Liquidity. These three goals are in constant tension. Higher profitability often means higher risk. Maintaining high liquidity reduces profitability (idle cash earns little). FM seeks the optimal balance for each specific company.

The FM Processes Pyramid

Financial Management consists of six hierarchical sub-processes, arranged in a pyramid. From bottom (most transactions, least abstraction) to top (fewest transactions, most strategic):

- **Layer 1 - Financial Accounting** (base): Recording individual transactions in accordance with local laws and accounting/reporting standards
- **Layer 2 - Financial Reporting:** Communicating financial position to external stakeholders (annual reports, interim reports)
- **Layer 3 - Management Accounting:** Internal cost analysis, budgeting, planning for management decision-making
- **Layer 4 - Performance Measurement:** Financial ratios, ratio systems (e.g., ROE decomposition), balanced scorecards
- **Layer 5 - Operating Decisions:** Pricing, make-or-buy, revenue/cost efficiency
- **Layer 6 - Strategic Decisions** (top): Capital structure, M&A, investment decisions

Financial Management encompasses all aspects of an organization as all aspects of an organization lead to financial facts.



Financial Management secures and presents the success of a company from the perspective of the Chief Financial Officer (CFO).

Internally, the CFO secures the right decision-relevant information being available in time and at quality in order for the use of available resources to add value.

Externally, the CFO takes responsibility for financial reporting and for the right capitalization. (Definition University of St. Gallen)

Financial Management serves for other aspects of an organization, however oftentimes these are the key facts for external stakeholders.

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Figure: The FM Processes Pyramid - Six sub-processes from financial accounting to strategic decisions (Lecture Slide)

External vs. Internal FM

External FM (Layers 1-2): Financial accounting + reporting -> communicates to external stakeholders (investors, regulators, public). Internal FM (Layers 3-6): Management accounting, performance measurement, operating and strategic decisions -> supports internal management decision-making.

FM as Support Process and Management Process

Within the SGMM, Financial Management serves a dual role:

- **Support process:** FM provides the infrastructure for recording, reporting, and measuring financial data
- **Management process:** FM actively shapes strategic and operational decisions through analysis and performance measurement

2.3 FM as an Essential Management Task

FM is not just a back-office function. It is essential for every manager because:

- All business decisions have financial implications
- Managers must understand financial reports to evaluate performance
- Investment and financing decisions require FM expertise
- Regulatory compliance (accounting standards, tax law) is mandatory

2.4 The Task Perspective of the SGMM

Environmental Spheres

Companies operate within four environmental spheres that influence FM:

- **Society:** Social norms, demographic trends, public expectations
- **Nature:** Environmental regulations, sustainability requirements

- **Technology:** Digital transformation, automation of accounting, FinTech
- **Economy:** Interest rates, inflation, capital markets, exchange rates

Stakeholders and Their Information Needs

A central function of financial reporting is to serve diverse stakeholders. Each group has different decision-making needs:

Group	Subgroup	Decision (why)	Info Need (what)
Internal	Management	Planning	Financial position, future
Internal	Employees	Workplace	Continuity
External	Shareholders	Buy/sell	Return, financial pos.
External	Creditors	Creditworthiness	Liquidity
External	Pot. investors	Investment	Return, products, future
External	Customers	Cust. relationship	Financial pos., products
External	Government	Tax/regulation	Profit, equity, liquidity
External	Media	Reporting	Background info
External	Suppliers	Creditworthiness	Liquidity, earnings
External	Rating agencies	Credit assessment	Liquidity, financial pos.

For the exam

1.2	List five possible addressees of annual reports. For each of them: explain their main interest as well as the relevant information from the annual report that would best serve this interest.				5
		Stakeholder group	Subgroup	Decision (why)	Need for information (what)
Internal recipients	Employees	Management	Management	Planning	Financial position, future
		Employees	Employees	Workplace	Continuity
External recipients	Investors	Shareholders	Shareholders	Buy/sell	Return, financial position
		Creditors	Creditors	Creditworthiness	Liquidity
	Potential investors	Potential investors	Potential investors	Investment decision	Return, products, future
		-	-	Continuation of customer relationship	Financial position, problems, future
	Customers	Tax authorities	Government	Tax assessment	Profit, equity
		Regulatory agencies	Government	Approval revocation	Equity, liquidity
	Media	Financial press	Media	Reporting	Background information, problems, future
	Suppliers	-	Suppliers	Creditworthiness	Liquidity, earnings
	NGOs	-	NGOs	Influence of the company	General information
	Educational institutions	-	Educational institutions	Collaboration	Financial position, background information, problems
Others	Rating agencies	Rating agencies	Rating agencies	Assessment of creditworthiness	Liquidity, financial position, future
	Financial analysts	Financial analysts	Financial analysts	Investment recommendation	Management, future, earnings
	General public	General public	General public	Influence of the company	General information
	Trade unions	Trade unions	Trade unions	Wage negotiations	Financial position

Figure: Stakeholders - their decisions and information needs (Lecture Slide, exam-relevant)

Interaction Issues

Stakeholders interact with the company on various issues: resources, norms & values, and concerns & interests. FM provides the data foundation for these interactions.

Processes and Value Creation

The SGMM distinguishes three types of processes:

- **Management processes:** Strategy, governance, resource allocation
- **Business processes and business model:** Core value creation activities

- **Support processes:** FM, HR, IT, legal - enabling the business processes

Governance: Principal-Agent Theory

A key governance challenge in FM is the principal-agent problem:

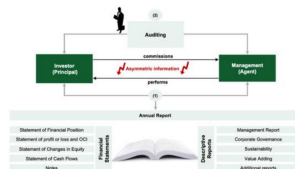
- **Principal:** The investor/owner who provides capital
- **Agent:** The management team who runs the company
- **Problem:** Information asymmetry - management knows more about the company than investors
- **Solution:** Financial reporting, auditing, corporate governance mechanisms

Principal-Agent Model in FM

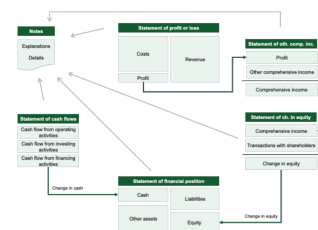
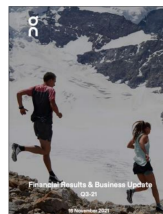
Investors (principals) entrust capital to management (agents). Because of information asymmetry, agents could act in self-interest. Auditing bridges this gap: independent auditors verify financial statements, providing principals with trustworthy information for decision-making.

Summary lecture 1

Principles of Financial Reporting



Financial Management in praxis



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Figure: Principal-Agent Model - Auditing bridges information asymmetry between investors and management (Summary Slide)

2.5 The Praxis Perspective of the SGMM

Decision-Making Praxis

FM supports all levels of management decision-making through financial data and analysis.

Frame of Orientation

The SGMM distinguishes three management levels:

- **Normative management:** Purpose, values, legitimacy (Why does the company exist?)
- **Strategic management:** Positioning, competitive advantage (Where is the company going?)
- **Operational management:** Day-to-day execution, efficiency (How does the company operate?)

FM contributes at all three levels: normative (transparency, trust), strategic (investment analysis, capital structure), and operational (budgeting, cost control).

Management Praxis and Executive Management

FM provides the quantitative foundation for management praxis - the actual exercise of management through communication, decision-making, and action.

2.6 Summary: The Four Sub-Processes of FM

Chapter 2 establishes that FM consists of four essential sub-processes, each corresponding to a part of the textbook:

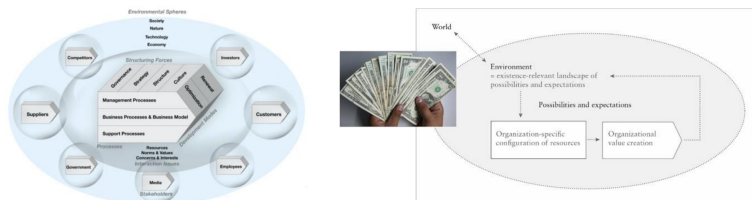
- **(1) Financial Accounting & Reporting** (External FM): Recording transactions and communicating financial position to external stakeholders
- **(2) Management Accounting** (Internal FM): Providing internal decision-makers with cost, revenue, and budget information
- **(3) Performance Measurement** (Internal FM): Evaluating company performance using financial ratios and systems
- **(4) Operating & Strategic Decisions** (Strategic FM): Making investment, financing, and capital structure decisions

Summary lecture 1

Sub-processes of Financial Management



Financial Management as support process and management process in the SGMM



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Figure: Summary - FM sub-processes pyramid and FM in the SGMM (Summary Slide)

LECTURE CASE STUDY: ON AG

Company Overview

On AG is a Swiss running shoe company used as the running case study throughout the FM lectures (complementing Nestle in the textbook).

- **Founded:** 2010 in Zurich, Switzerland
- **Product:** Running shoes with patented CloudTec cushioning technology
- **Notable investor:** Roger Federer (joined 2019)
- **IPO:** September 2021 on NYSE at a valuation of USD 7.3 billion
- **Growth:** CAGR of 66% since founding
- **Management:** Co-CEO and CFO Martin Hoffmann; new CFO Frank Sluis from May 1, 2026

In its short history, it has already made some significant moves that have hardly been seen from other companies before.



2010, David Allemann, Oliver Bernhard and Caspar Coppetti develop the first On shoe and found a company in Zurich, aiming for more fun when running.



In June 2019, Roger Federer joins as an investor.



On Sep 15, 2021, On AG went public, listing its shares at the NASDAQ stock exchange, being valued at USD 7.3 billion and raising USD 746 million of new capital in the IPO (initial public offering).



On employs around 3300 employees from more than 100 countries, 30% thereof in Zurich.



Today, On is one of the fastest growing sports brand world wide, having shown sky-rocking sales with a compound average growth rate (CAGR) since 2010 of 66% p.a.

The decisions for Roger Federer as investor and listing at NASDAQ do have financial considerations, but they are not exclusively financial.

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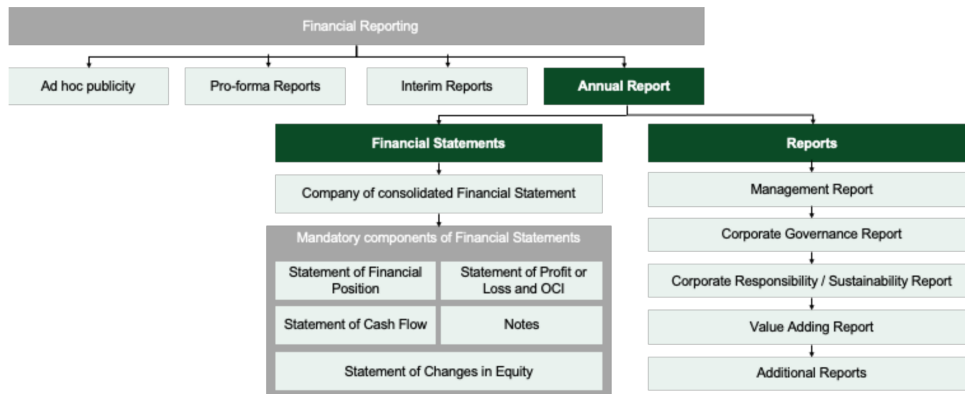
Figure: On AG - Company history and key milestones

Financial Reporting Structure

On AG's financial reporting follows a hierarchical structure:

- **Financial Reporting** encompasses all external financial communication
- Types: Ad hoc publicity, Pro-forma reports, Interim reports, Annual report
- The **Annual Report** is the most comprehensive, containing:
 - > **Financial Statements** (mandatory): Statement of Financial Position, Statement of Profit or Loss and OCI, Statement of Cash Flow, Statement of Changes in Equity, Notes
 - > **Reports** (voluntary/regulatory): Management Report, Corporate Governance Report, CSR/Sustainability Report, Value Adding Report

Besides many internal responsibility, external Financial Reporting is one of the most important duties of Financial Management.



Financial Reporting spans beyond annual reports, and annual reports are more than financial statements only. However, they are the core of financial reporting.

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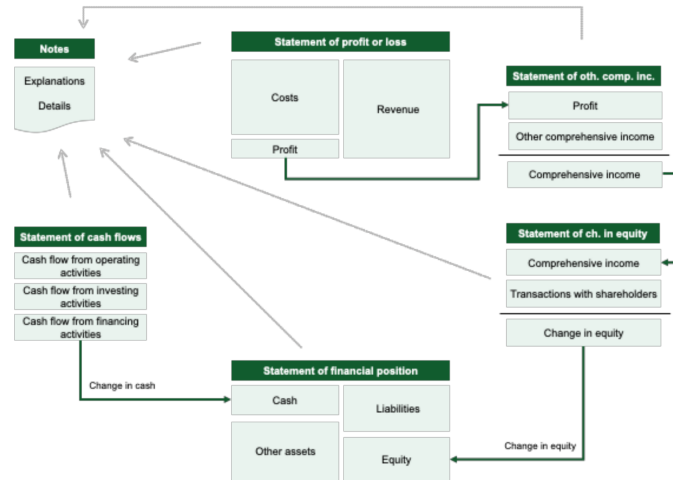
Figure: Financial Reporting structure - hierarchy from ad hoc to annual reports

The Five Financial Statements

Financial statements serve different information needs of stakeholders:

- **Statement of Financial Position** (Balance Sheet): What does the company own and owe? -> Assets, Liabilities, Equity
- **Statement of Profit or Loss and OCI**: How profitable is the company? -> Revenue, Costs, Profit
- **Statement of Cash Flows**: Where does cash come from and go? -> Operating, Investing, Financing cash flows
- **Statement of Changes in Equity**: How has owners' equity changed?
- **Notes**: Detailed explanations and disclosures supporting the other four statements

All five statements are related and finally roll into the statement of financial position. The notes are rather complementary.



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Figure: The 5-statement relationship diagram - how all financial statements interconnect

Reporting Standards

Companies must follow specific reporting standards depending on their type:

Company Type	OR	Swiss GAAP	US GAAP	IFRS
Small/Medium (SME)	Required	Optional	Optional	Optional
Large private	Required	Required	Optional	Optional
SIX-listed (CH)	Required	Accepted	Accepted	Accepted
NYSE/NASDAQ-listed	n/a	n/a	Required*	Accepted

*On AG uses IFRS and reports in CHF despite being listed on NYSE (accepted under SEC rules).

On AG's Reporting Choice

Despite NYSE listing (which typically requires US GAAP), On AG reports under IFRS in CHF. The SEC accepts IFRS for foreign private issuers. This is a practical example of how reporting standards work in an international context.

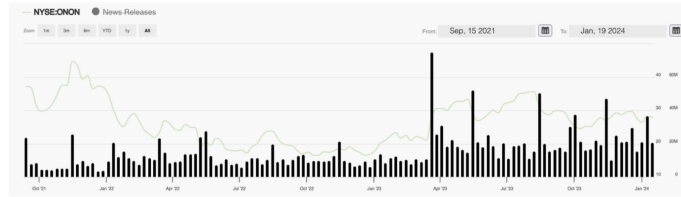
On AG's IPO Impact on Financial Statements

The September 2021 IPO had measurable effects across all financial statements:

- **Balance Sheet:** Cash and cash equivalents increased dramatically from IPO proceeds; equity increased from share issuance
- **Income Statement:** Revenue growth accelerated (brand visibility from IPO/NYSE listing)
- **Cash Flow Statement:** Large positive financing cash flow from IPO; operating cash flow was still negative (growth-stage company)



IPO is a once in a lifetime event for a company. On AG decided for this financing step at a young age in a niche industry.



<https://investors.on-running.com/stock-info/default.aspx>

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Figure: On AG - Impact of IPO on Balance Sheet (cash increase, equity increase)

Corporate Social Responsibility (CSR) Reporting

Since COVID-19, companies view responsibility and sustainability differently, emphasizing both profit and resilience. Public companies must consider CSR in their reporting:

- **CSR Report** (Corporate Social Responsibility): Documents a company's efforts, achievements, and plans related to social and environmental responsibility
- On AG calls its CSR report an '**Impact Report**'
- Quality standards for CSR reports differ from financial reporting: requirements are largely **voluntary** and frequency is **volatile**
- Recommendation: Check applicable regulations, compare with industry peers

Investor Relations

Investor Relations (IR) is the strategic communication function between a company and the financial community.

- **Objective 1 - Low volatility/stable share price:** Advantages for raising capital; decreases cost of capital
- **Objective 2 - High trading volume:** Provides high level of liquidity for shareholders
- **Objective 3 - Building trust:** Promotes company image and reputation in financial markets

Investor Relations Objectives (Exam Question 1.3)

Three objectives: (1) Low volatility & stable share price -> lower cost of capital, (2) High trading volume -> liquidity for shareholders, (3) Building trust -> promotion of company image.

EXAM PRACTICE QUESTIONS

Question 1.2 (5 points)

List five possible addressees of annual reports. For each of them: explain their main interest as well as the relevant information from the annual report that would best serve this interest.

Model answer: See stakeholder table above. Key addressees include:

- **Management** (internal): Planning -> Financial position, future outlook
- **Shareholders** (external): Buy/sell decisions -> Return, financial position
- **Creditors** (external): Creditworthiness assessment -> Liquidity
- **Government/Tax authorities** (external): Tax assessment -> Profit, equity
- **Media** (external): Reporting -> Background information, problems, future

Question 1.3 (3 points)

List the objectives of Investor Relations and explain why these objectives are relevant for a company.

Model answer:

- **Low volatility and stable share price performance:** Relevant because it provides advantages for raising capital and decreases the cost of capital
- **High trading volume:** Relevant because it ensures a high level of liquidity for shareholders, making shares attractive
- **Building trust:** Relevant because it promotes the company's image and reputation in financial markets

For the exam

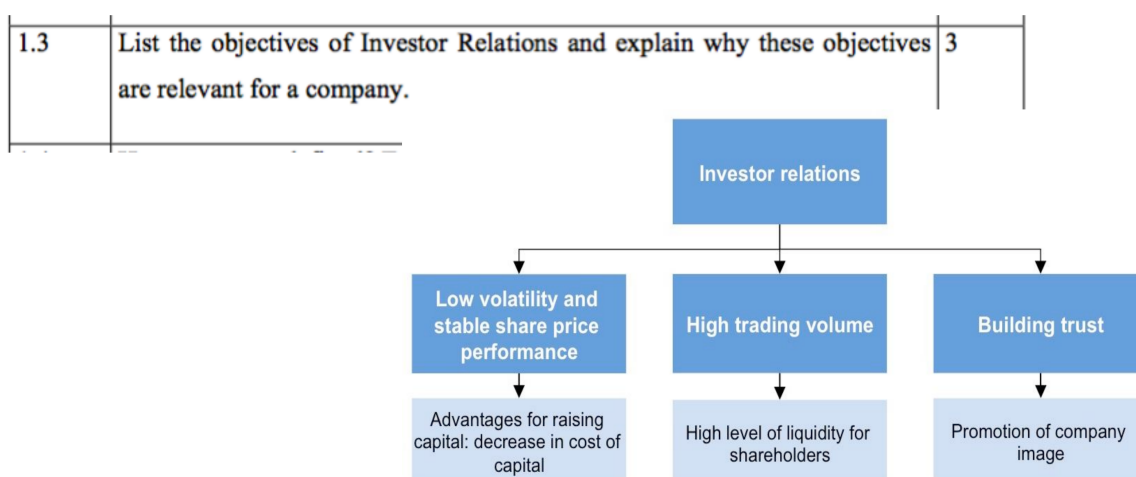


Figure: Exam Question 1.3 - Investor Relations objectives and their relevance

KEY TERMS AND DEFINITIONS

Term	Definition
Financial Management (FM)	The discipline of managing a company's financial resources, reporting, and decision-making
SGMM	St. Gallen Management Model - a framework for understanding how organizations function
Goal Triangle	The three competing objectives of FM: Profitability, Risk, Liquidity
Financial Accounting	Recording individual financial transactions according to standards
Financial Reporting	Communicating financial information to external stakeholders
Management Accounting	Internal cost analysis, budgeting, and planning
Performance Measurement	Evaluating performance using financial ratios and systems
Principal-Agent Problem	Information asymmetry between owners (principals) and managers (agents)
Auditing	Independent verification of financial statements to bridge principal-agent gap
IFRS	International Financial Reporting Standards - global accounting framework
US GAAP	Generally Accepted Accounting Principles - US accounting standards
Swiss GAAP FER	Swiss accounting standards for mid-sized and non-listed companies
OR (Obligationenrecht)	Swiss Code of Obligations - minimum accounting requirements
Annual Report	Comprehensive yearly financial communication containing statements + reports
CSR Report	Corporate Social Responsibility report on environmental/social impact
Investor Relations	Strategic communication between a company and the financial community